

High food prices contribute to acute food insecurity in conflict and drought-affected areas

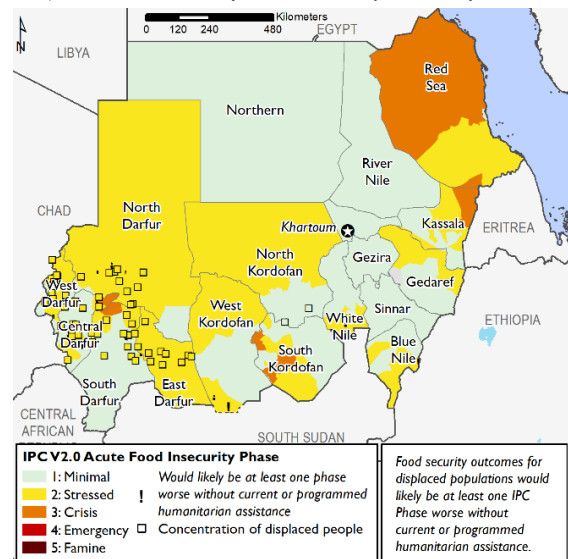
KEY MESSAGES

- Parts of Kassala and North Darfur, affected by severe dryness in 2017, and IDPs in Jebel Marra, will face Crisis (IPC Phase 3) through September, while food security among IDPs in SPLM-N areas of South Kordofan will deteriorate from Crisis (IPC Phase 3) to Emergency (IPC Phase 4) between June and September 2018. Most other parts of Sudan will likely remain in Minimal (IPC Phase 1) or Stressed (IPC Phase 2) acute food insecurity between February and September 2018, following above-average 2017/18 harvests.
- The continued impact of the deteriorating macro-economic situation in Sudan has been exacerbated by the fuel shortages across the country between late March and the beginning of April 2018. This has led to high transportation costs, which resulted in high prices of food and non-food items across different parts of the country.
- Influxes of South Sudanese refugees into neighboring states of Sudan continued during March and April 2018 due to persistent conflict and severe acute food insecurity in South Sudan. As of end March about 15,000 refugees have arrived in Sudan since beginning of 2018, bringing the total number of South Sudanese refugees to nearly 769,000 people since the start of the conflict in December 2013.

CURRENT SITUATION

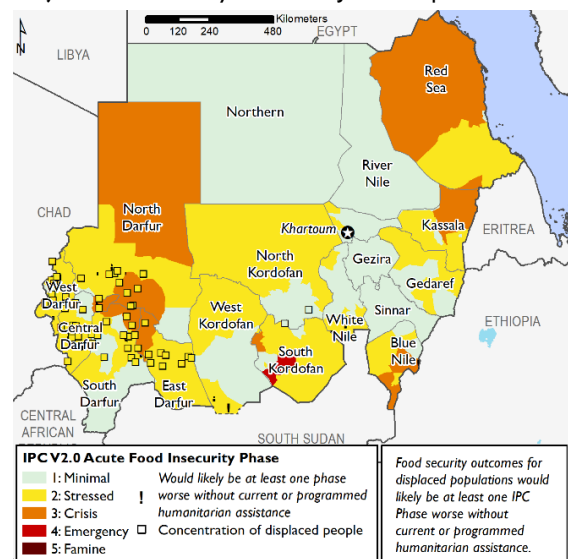
Following sharp increases during January 2018, cereal prices either remained stable at their high levels of last month or slightly declined in most markets between February and March 2018. Despite availability of adequate market supplies from the above average harvest in most of the main production markets such as Al Gadarif, Ad Damazin, and Kosti, the deteriorating macro-economic situation and removal of subsidies from wheat and wheat flour has caused cereal prices to remain atypically high during the post-harvest period. Fuel shortages across most parts of Sudan has been worsened towards end of March beginning of April 2018, coinciding with the continued high inflation and local currency depreciation following the macro-economic changes in Sudan during January and February 2018. This has led to high transportation cost, which resulted in high prices of food and non-food items across different parts of the country.

Projected food security outcomes, April to May 2018



Source: FEWS NET

Projected food security outcomes, June to September 2018



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

Sorghum prices decreased slightly in the production markets of Ad-Damazin and Al Gadarif but remained stable at very high levels in the main consumption markets of Om Dorman, Port Sudan, Kassala, El Fasher, Madani, and Ad-Dain. Millet prices decreased slightly in Om Dorman and increased slightly in Port Sudan and Madani markets but remained unchanged in most other main production and consumption markets between February and March.

Prices of locally produced wheat also remained stable but very high in most markets. Current levels of staple food prices are on average 125 percent above last year and 180 percent above the recent five-year average. In its attempts to stabilize cereal prices, as of mid-April 2018, the Strategic Reserve Corporation (SRC) reported prepositioning of over 200,000 MT of sorghum in the dryness-affected areas. Approximately 5,000 MT of subsidized sorghum was loaned to government employees at prices 46 percent lower than the market price, while the remaining 195,000 MT will be used for direct sales to beneficiaries at prices nearly 50 percent lower than the market price.

Livestock prices either remained stable at high levels or increased slightly in most markets, in line with the recent macro-economic changes coupled with increased demand for sheep and cattle for local consumption and export in advance of Ramadan. Om Dorman, Kassala, Sennar, and El Obied markets recorded the highest price increases between February and March, with 15 to 30 percent. Current level of livestock prices remained on average over 60 percent above last year and more than doubled compared to the recent five-year average.

Terms of trade (ToT) between livestock and staple foods have continued to be in favor of cereals traders and producers in most markets since December 2017 due to high increase in cereal prices with relative stability of livestock prices. Goat-to-sorghum term of trade declined by 14 percent in Al Gadarif market between February and March due to the continued high levels staple food prices, while improving by six percent in Kadugli market. Terms of trade between wage labor and sorghum continued to be in favor of cereal producers due to high cereal prices with stability of labor wages; in Al Gadarif market, ToT between daily wage labor and sorghum remained at the rate of 12 kgs. of sorghum for one day labor wage, which is almost 57 percent lower than respective last year and the recent four-year average (Figure 1).

South Sudanese refugees continued to arrive in Sudan in March 2018 due to persistent conflict and severe acute food insecurity in South Sudan. More than 4,300 South Sudanese refugees arrived in March 2018, for a total of nearly 15,000 who have arrived in Sudan in 2018 so far. This is slightly below the four-year average of over 18,000 arriving during the same period between 2014 to 2017. East Darfur state reported the highest number of new arrivals during 2018 with total number of 5,400 followed by South Darfur and West Kordofan states with total arrival of 3,722 and 3,227 new arrivals, respectively. The total verified number of South Sudanese refugee population in Sudan is currently stands at nearly 769,000. The rate of new arrivals is expected to remain high prior to the onset of the rains in June 2018.

UPDATED ASSUMPTIONS

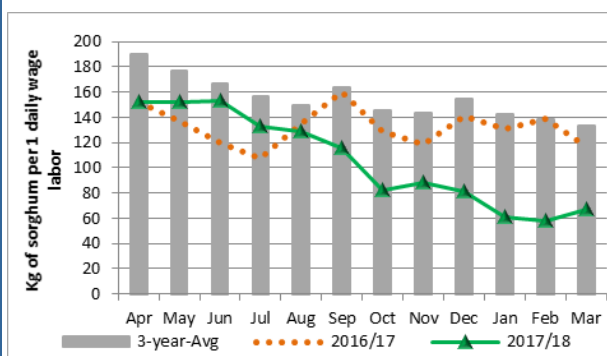
Assumptions made in the [Sudan Food Security Outlook for February to September 2018](#) remain unchanged, except for the following:

- Cereal and non-cereal food prices are likely to continue increasing more rapidly than usual April through September 2018 due to high transportation costs resulting from severe fuel shortages during March and April, associated with continue local currency depreciation and high inflation rates.

PROJECTED OUTLOOK THROUGH SEPTEMBER 2018

Given the increased influx of South Sudanese refugees and into neighboring states of Sudan, the continued restricted access to SPLM-N controlled areas and the high needs of IDPs in Darfur and Blue Nile and increased number of people affected by dryness during the 2017/18 season in North Darfur, Kassala, parts of Al Gadarif and Red Sea states which coincided continued deterioration of macro-economic situation, more households in the affected areas will continue to be unable to meet their

Figure 1. Goats to sorghum terms-of-trade (kg/head), Al Gadarif market



Source: FEWS NET

basic food needs between April and September 2018. Assistance needs will likely be above-average in SPLM-N controlled areas of South Kordofan and areas hosting IDPs and conflict-affected households in Jebel Mara area in Darfur, where food insecurity among IDPs and poor residents has already deteriorated to Crisis (IPC Phase 3) during March/April, and is likely to deteriorate to Emergency (IPC Phase 4) by May/June through September 2018 due to displacement, restrictions on movement, trade flows, open access to livelihood activities, and extremely high prices of cereal and non-cereal food items. Poor households in northern Kassala state will continue to face IPC Crisis (IPC Phase 3) by April through September 2018. IDPs and poor households in SPLM-N controlled areas of Blue Nile states, and poor residents households in the dryness-affected areas in North Darfur, northern Al Gadarif and Red Sea state continued to face Stress (IPC phase 2) during March/April, while situation likely to deteriorate to Crisis (IPC Phase 3) by May/June through September 2017 due to the continued earlier than anticipated increases of the already high level staple food prices, the declining poor household's purchasing power particularly and deteriorating term of trade between staple food and main income sources.

ABOUT THIS UPDATE

This report covers current conditions as well as changes to the projected outlook for food insecurity in this country. It updates the FEWS NET's Food Security Outlook, which is published three times per year. Learn more about our work [here](#).